

2021 ECONOMIC AND FINANCIAL CRIMES COMMISSION [EFCC] ESSAY COMPETITION

HOW TO FIGHT ECONOMIC AND FINANCIAL CRIMES TO MAKE NIGERIA GREAT AGAIN

According to Alan Greenspan, “Corruption, embezzlement and fraud are characteristics that exist everywhere. It is regrettable the way human nature functions, whether we like it or not. What successful economies do is keep them to a minimum. No one has ever eliminated any of these things.” According to this view, unless we want to deceive ourselves, completely stopping financial crimes among human beings is almost impossible. However, there is a high possibility of reducing such crimes to the lowest possible level. This leads to the big question: how can we fight economic and financial crimes in Nigeria?

Fighting financial crimes in a country like Nigeria is one of the ways of making the nation great. However, this cannot be achieved without first analysing the reasons behind financial crimes and then providing effective solutions to tackle them.

In Nigeria, the structure of society makes it seem as though financial crimes involve only high-level offences with huge sums of money. This perception ignores the fact that financial crimes can be best reduced when appropriate methods, plans and institutional frameworks are put in place by relevant commissions to curb their prevalence.

At this point, we need to ask ourselves how financial crimes can be eradicated in Nigeria. This can be achieved through four major steps: reporting financial crimes, investigating financial crimes, ensuring appropriate punishment for offenders, and maintaining proper records.

When we talk about reporting financial crimes, it does not necessarily mean that the person reporting is the victim. An individual may report financial crimes on behalf of a victim or even without the victim’s consent. Reporting can only be effective if there is an accessible and functional platform that enables communication between the commission and the reporter. The emphasis on a functional platform is important because, although platforms exist for reporting financial crimes, their effectiveness remains questionable. From personal experience, having tested three different platforms, it is evident that many of them do not function appropriately. This is one of the areas that requires proper structuring and improvement.

In addition, it is not enough to merely provide platforms for reporting financial crimes. There should also be a system through which the commission gives timely responses, feedback and expressions of appreciation to reporters. If these strategies are implemented, they will encourage more people to report financial crimes.

The second major point is the investigation of financial crimes. Investigation can be classified into three phases: investigative measures aimed at preventing crimes, measures used to uncover the true facts about crimes committed, and measures designed to control high-risk financial activities. Overall, effective investigation is central to combating financial crimes.

Over the years, it has become apparent that several factors hinder investigations and make it seem difficult to curb financial crimes in Nigeria. Some of these factors include poverty, greed, peer pressure, poor governance, financial institutions and the misuse of social media platforms. For this discussion, attention will be focused on two factors: social media platforms and financial institutions.

Starting with social media platforms, the way they are used in Nigeria poses significant challenges to investigation. Many individuals operate social media accounts using false names and identities. If there is no intention to commit illegal acts, there should be no reason to conceal one's real identity. Out of ten people who use false names, only a few use their real photographs. If such practices continue in this modern age, investigations will remain difficult and the rate of crime is likely to increase. A possible solution is the enforcement of laws that make it compulsory for all social media accounts operated in Nigeria to be linked to the National Identity Number. In this way, names and other traceable information would correspond with official identity records. If this measure is implemented, it could significantly reduce crime rates and make the investigation of cybercrime much easier.

The second factor is financial institutions. In Nigeria, a large percentage of financial crimes are committed through financial institutions. These institutions have, unfortunately, become key channels through which financial crimes are committed, despite the fact that many of them are legally registered. In a modern society, financial institutions should be the safest platforms for transactions, yet the reality is often the opposite.

The situation has worsened to the point where it is relatively easy for fraudsters to use their bank accounts to carry out fraudulent activities. Even after such accounts are reported, banks sometimes fail to take prompt action. One way to address this problem is to ensure a strong and effective relationship between regulatory commissions and financial institutions, particularly in the areas of reporting and investigating fraudulent activities.

Furthermore, a key element in ensuring effective financial investigation is the attribution of sufficient powers to competent authorities. This includes access to relevant data, such as banking and transaction records, when necessary and within the confines of the law.

Turning to the third and fourth points, it is important to recognise that punishment is different from appropriate punishment. For example, if an individual embezzles ten million naira and the court orders the person to pay a fine of one hundred thousand naira, this may be considered a punishment, but it is clearly not appropriate. Punishment plays a crucial role in correcting and preventing financial crimes, and the severity of punishment often determines the extent to which such crimes are discouraged.

Finally, proper keeping is essential. Accurate and accessible records aid investigations, support transparency and strengthen accountability within institutions.

In conclusion, as Montesquieu rightly observed, “There are means to prevent crime: punishment; and there are means to change manners: good examples.” A combination of effective reporting, thorough investigation, appropriate punishment and sound record-keeping can significantly reduce economic and financial crimes in Nigeria and contribute to national development.